



Distribution Channel

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Distribution

- Moving a product from producers to customers
 - Objective: Deliver the right products to the right customers in the right time at the right place, in the right order and condition
 - Decisions
 - Where should we sell, locate the store
 - Who should be our partners
 - Which channel will be used to distribute the product
 - How can you deliver the product/service e.g. online/offline, automated machines
 - When should the store open/close
 - Management tasks
 - Channel design, evaluation, management
-

Where should we sell mini breakfast pizza



Who will be your customers?

Where are your customers?

When will they buy?

What else do customer want to buy?

Which channels your customers preferred?

Possible channels

Possible Channels	
1	Offer as a 'take away' option in all their stores (which would require their stores opening 4-5 hours earlier than normal)
2	Offer as a 'take away' option in their key/busy stores (that is, those located in shopping malls and on main roads)
3	Offer as a home delivery option only (which would still require their stores to open 4-5 hours earlier than normal)
4	Distribute via gas stations (that is, set up a small pizza section in larger gas stations)
5	Distribute via convenience stores (similar approach to gas stations)
6	Distribute via coffee shops (exclusively offer to selective coffee shops)
7	Set a range of special vending machines to be located around the city and at key transport hubs
8	Set up a range of special kiosks (small booths) in key city and at key transport hubs



Makro Deskshops Campaign

An innovative distribution and marketing campaign by Makro Colombia that empowered office workers to become micro-entrepreneurs. It formalized the common "side hustle" of selling snacks at work by providing a branded solution.

This Created thousands of new, loyal "micro" points of sale in offices where Makro had no previous presence. **Brand Positioning:** Successfully communicated the slogan "**Makro is also Mikro,**" showing the wholesale giant could also operate on a personal, micro-level.



How It Worked

- 1. Sign-Up:** Office workers registered for free through a dedicated app.
- 2. Get Kit:** Participants received a **free, branded cardboard "Deskshop" kiosk** to set up on their desk.
- 3. Order & Sell:** They ordered Makro products (snacks, drinks, etc.) at wholesale prices via the app.
- 4. Delivery & Profit:** Makro delivered the stock directly to their office, and the worker kept all the profit from sales to colleague



- Where and How customers can obtain products
- Manufacturer
- Wholesaler
- Retailer
- Distributors
- Dealers
- Agents



Distribution Channel

- A set of interdependent organizations (internal or external) in charge of
 - making products available to the target customer
 - providing links between production and consumption
 - easing the transfer of ownership
- For many products/services,
 - consumers cannot easily contact producers in time of needs, especially for frequently-purchased non-durable goods
 - producers cannot deliver to a large number of customers alone.



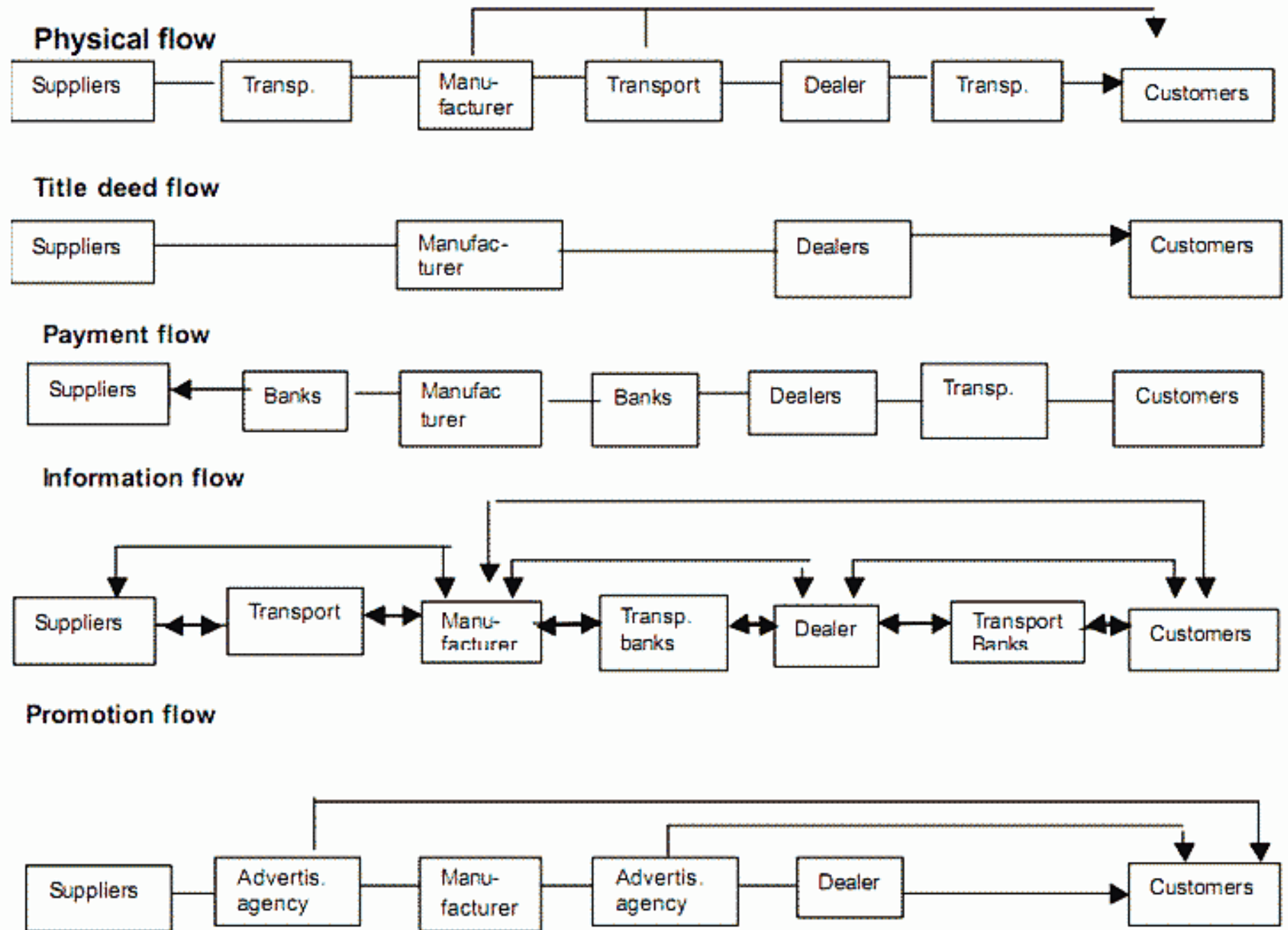
Coca-Cola sells 2 billion servings a day.

- Coca-Cola manufactures and sells concentrates, beverage bases and syrups to bottling operations, owns the brands and is responsible for consumer brand marketing initiatives.
- Our 225 bottling partners manufacture, package, merchandise and distribute the final branded beverages to our customers (supermarkets, restaurants, convenience stores, movie theaters, vending partners, etc) who then sell our products to consumers.
- Bottling partners and customers execute localized strategies developed in partnership with our Company



5 important flows

reflecting the linkages that tie channel members together in the distribution of goods and services.



Functions of Distribution Channel

Transactional

- **Buying:** buy for resale
- **Selling:** contact customers, promote products, demonstration, process order
- **Risk taking:** risk in holding the inventory

Logistical

- **Assorting:** create assortment from several sources
- **Sorting:** organize and categorize products, convert into smaller units
- **Storing:** protect product, manage inventory
- **Transporting:** physically move products

Facilitating

- **Financing:** provide credit, financing, leasing
- **Grading:** inspect, judge and grade quality
- **Information:** provide information/education to customer. Feedback to producer
- **Service:** delivery, installation, return, repair



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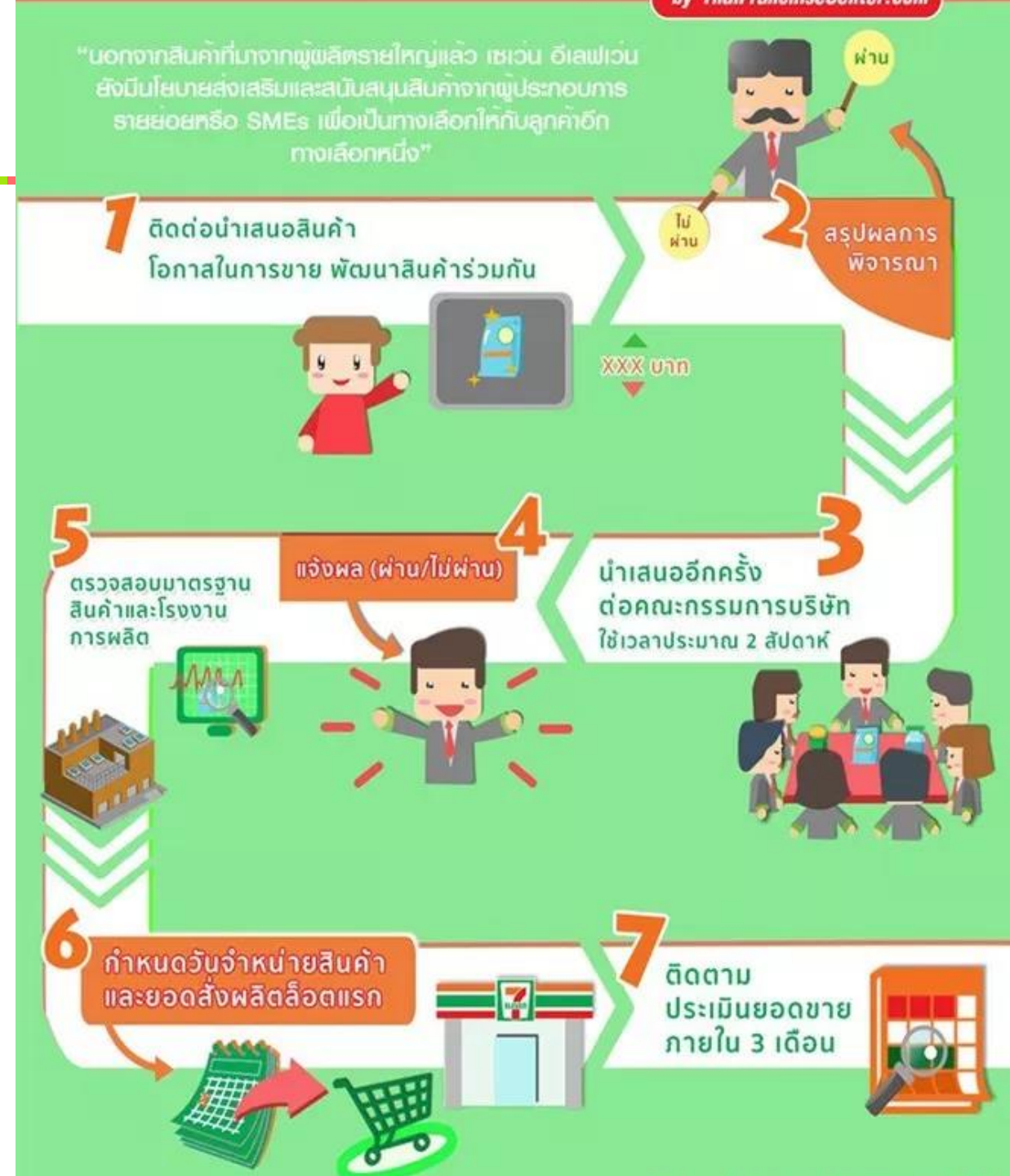
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HOW TO GET YOUR PRODUCT INTO 7-ELEVEN

1. Understand customers, research if anyone will want to buy
2. Know if you can defend your product against cheap copies
3. Test your product: Make sure that there's a demand for your product
4. Perfect your pitch: know your numbers, know your retailer, know your logistics.
5. Have great sales staff, customer support and marketing partners can take you from zero to success faster than if you tried on your own.





- In 2017-18, Heineken offered fresh new festive experiences for party lovers during the holiday season through the project, “**Star Delivery Service**”.
- In collaboration with **Greyhound** a creative fashion and cafe brand, this service catering to urban lifestyle serves a **complete party set right to your doorstep**.
- The exclusive package includes **draught beer from Heineken, a variety of curated menus from Greyhound Café, and creative party accessories** exclusively designed by Greyhound.
- The service package will come in 3 different sizes (S, M, L) and prices, starting from a 6,500 baht set for 8-10 people to a 10,500 baht set. Number of food menu choices, quantity of beer and number of party props will also vary for each package size.

Stylized Fact: Heineken has 3% market share in Thailand. Typically, beer is distributed through traditional trade (70%), modern trade (20%), and restaurants/pub (10%).

Benefits of Distribution Channel



As products move through the supply chain, channel members facilitate the distribution process and provide time/place/info utilities for customers by

Providing Specialization and division of labor

Overcoming discrepancies

Providing contact efficiency



1. Specialization



- Firms can't perform all tasks necessary to move products directly to end users
 - Shipping and handling capabilities
 - Dealing with a large number of customers (lend the credit, provide service, etc.)
 - Channels help sell the products better than a producer works alone
 - Specialized expertise and economy of scale of channel members
 - Perform better (Enhance the overall performance)
 - With lower costs (Creates greater efficiency)
- 

2. Overcoming Discrepancies



Discrepancy of Quantity

The difference between the amount of product produced and the amount an end user wants to buy.

Discrepancy of Assortment

The lack of all the items a customer needs to receive full satisfaction from a product or products.

Temporal Discrepancy

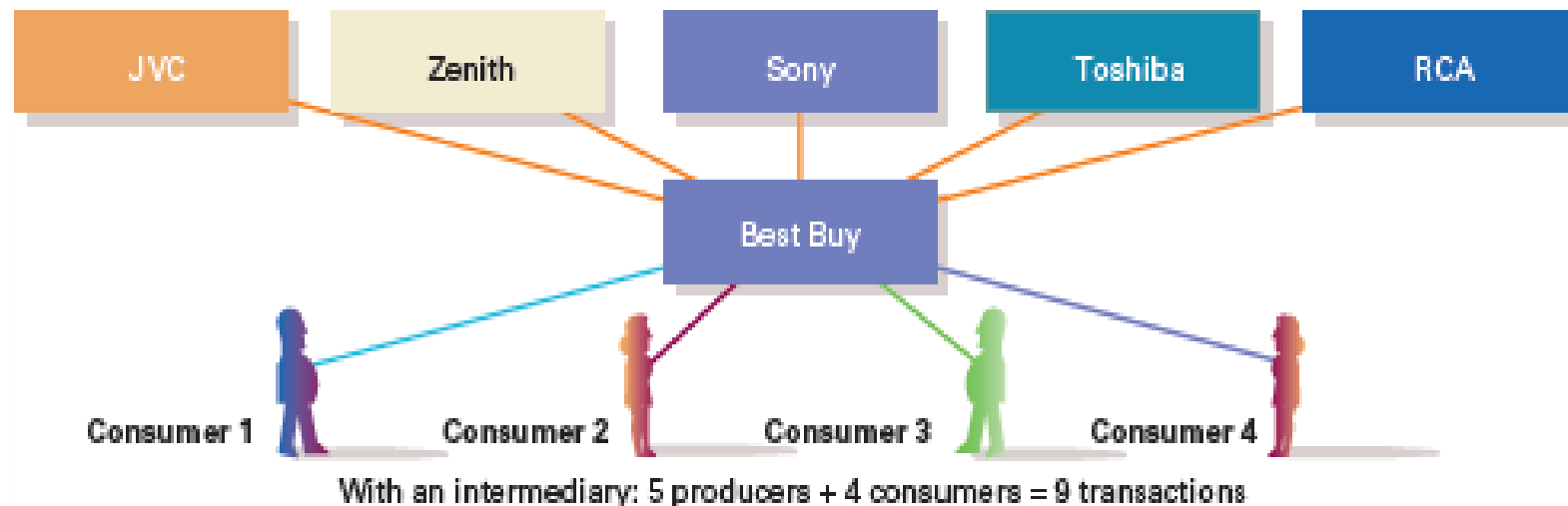
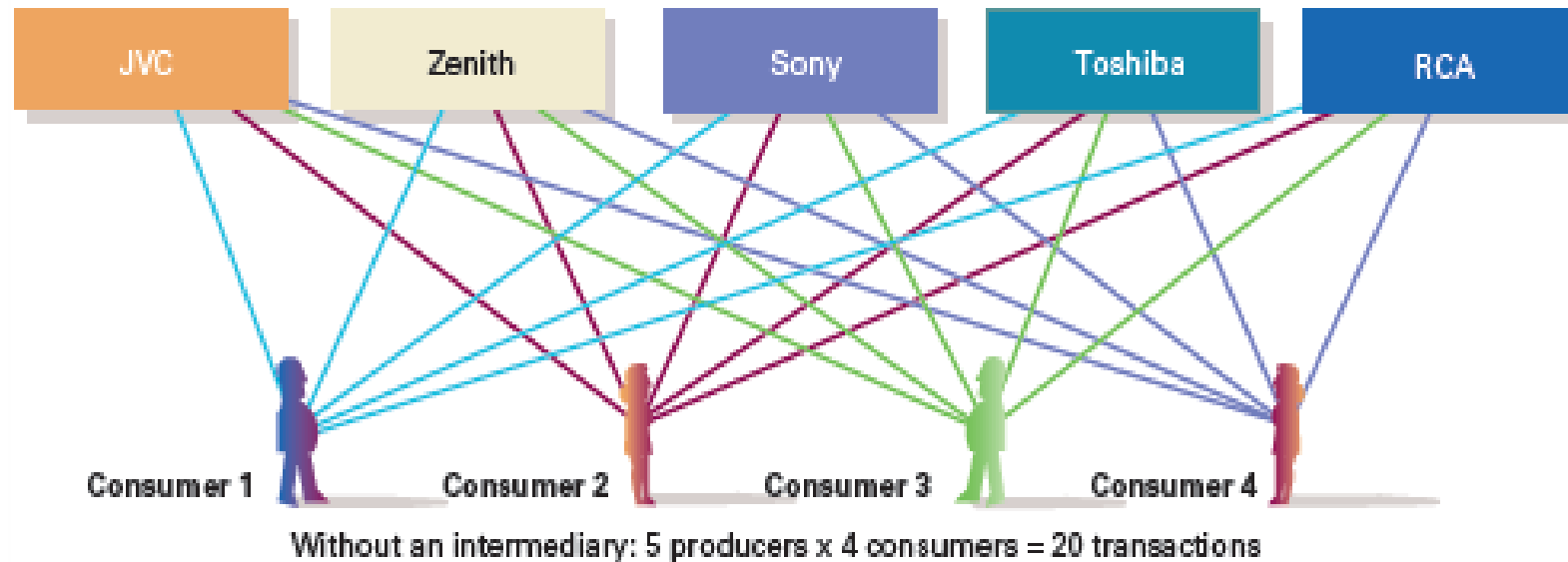
A situation that occurs when a product is produced but a customer is not ready to buy it.

Spatial Discrepancy

The difference between the location of a producer and the location of widely scattered markets.



3. Providing contact efficiency by Reducing the Number of Required Transactions



Importance of Distribution Channel

Producers

- Affect sales/revenue
- Affect cost/profit
 - Contribute up to 50% of the final selling price. Retailer requests
 - Listing fee (10,000 to 1 million) +
 - Gross Profit (front margin (35-55% of selling price)+
 - 300K for end-cap display+
 - Distribution cost (5-7.5% of selling price)+
 - Marketing activities fee (1-10% of sale)
 - E-marketplace
 - Commission fee 5-9% (vary by category)
 - Transaction fee 3.21%
 - Optional program fee
 - Free Shipping 5.35%, Coupon 5.35%
 - Live, flash sale 3.21%-4 28% (seller, mall)
 - Maximum cost ranges 15%-25%
 - Optional service fee: Storage fee (from 250 THB) and Fulfillment fee (from 8 THB) - optional service
- Influence customer satisfaction

Customers

- Product form utility
- Time utility
- Place utility
- Possession utility
- Information utility
- Influence customer satisfaction

If you can't get product to customers,
when, where,
and how they want it, they will buy
competing products

*How companies sell is as important as
what they sell*



- Established in 2001, Cafe Amazon was initially a PTT retail business at its petrol and gas stations. Cafe Amazon contributes roughly 60% of PTT's non-oil revenue.
- The coffee shop now operates as a stand-alone at department stores, supermarkets and roadside locations and has 2,557 branches. Of those, 2,389 shops are in Thailand. The other 168 are sprinkled across Japan, Myanmar, Laos, Cambodia, Oman, the Philippines, and Singapore
- Using franchise model, Amazon is present in 90% of PTT gas station. PTT's coffee shop unit has surpassed Starbucks in revenue (12.8 billion vs. 8.4 billion of Starbucks vs. 23.5 billion total market)(40% market share)



- Starbucks** began operations in Thailand in 1998 and 444 branches, operating via a variety of outlets e.g. **in the hospital, train station (MRT), Toyota showroom, and also in gas station.**
- Starbucks also launch an automated machine in workplaces and catered locations e.g. AIS esports studio. This is part of the program "We Proudly Serve Starbucks" by Nestle to help the business (**office, hospital, university, hotel**) elevate the beverage experience for their customers with greater convenience by offering a **Starbucks café-style coffee solution (a barista-served, self-serve, brewed solution)**. This give our customers more access to Starbucks beverages by extending availability in appropriate locations

CHANNEL DESIGN



- Analyze consumer needs
- Establish channel objectives
- Identify channel alternatives
- Evaluate channel alternatives

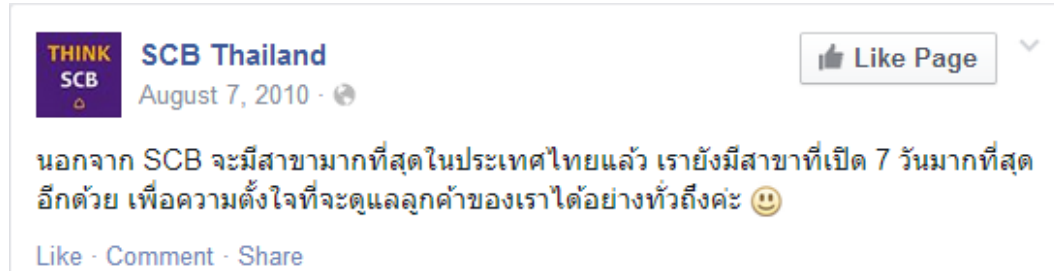


1. Analyze Consumer Needs

- Channels are part of the overall customer-value delivery network.
- What customers want from the channel? (WH question):
 - What the customer needs? Why they buy from certain outlets? **Quantity, depth or breadth of assortment, add-on service (e.g. delivery, installation, repair), Frequency and Convenience (location and number of outlet), Time (time waiting for receipt of goods)**
 - Where they buy? **Nearby, more distant and centralized location**
 - When they buy? **24 hours/7days, early morning, late night, weekends**
 - How they buy? **In person, by phone, online**
- Balance the need against the feasibility (**cost, skill, price preference**)
- Decide the best channels to suit customers in different segments (**quality, price-value, variety, experience**)

The fastest delivery, the largest assortment, and the best services may not be possible and practical.

2. Establish channel objectives



- Channel objectives determined by customer requirement, company's strategies, its products, its competitors, its intermediaries, and the environment (e.g. economic/legal condition)
 - Growth in sales/market share
 - Achieve time, place utilities (24 hrs, 7 days)
 - Maintain quality/freshness of product
 - Block or fend off competitors
 - Create an efficient channel
- Determine the specific distribution task to be performed such as
 - Provide delivery within 24 hours after order placement
 - Offer adequate storage space
 - Provide credit to other intermediaries
 - Facilitate a product return network
 - Provide readily available inventory (quantity and type)



3. Identify Major Channel Alternatives

- Channel length (Number of levels of intermediaries)
 - Direct channel (simplest, shortest)
 - Indirect channel (one level to several levels)
 - Dual distribution and multi-channel distribution
 - Types of distribution channel
 - Traditional trade vs. modern trade
 - Offline vs. online
 - Wholesaler vs. Retailer (store, sales force, and online/mobile/machines)
 - Number of intermediaries (Intensity at each level)
 - Intensive distribution
 - Exclusive distribution
 - Selective distribution
-

Channel

Direct Channel

When a producer and ultimate consumers deal directly with each other

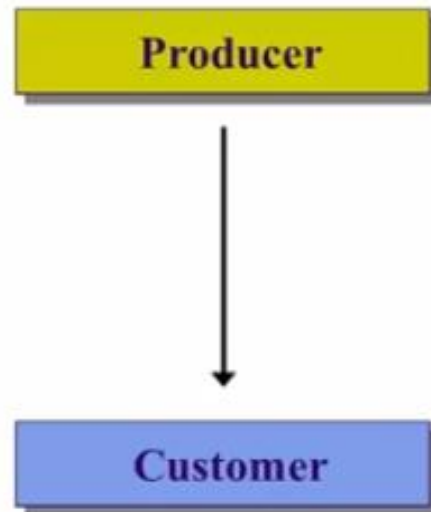
- Company-owned stores



- Sales force



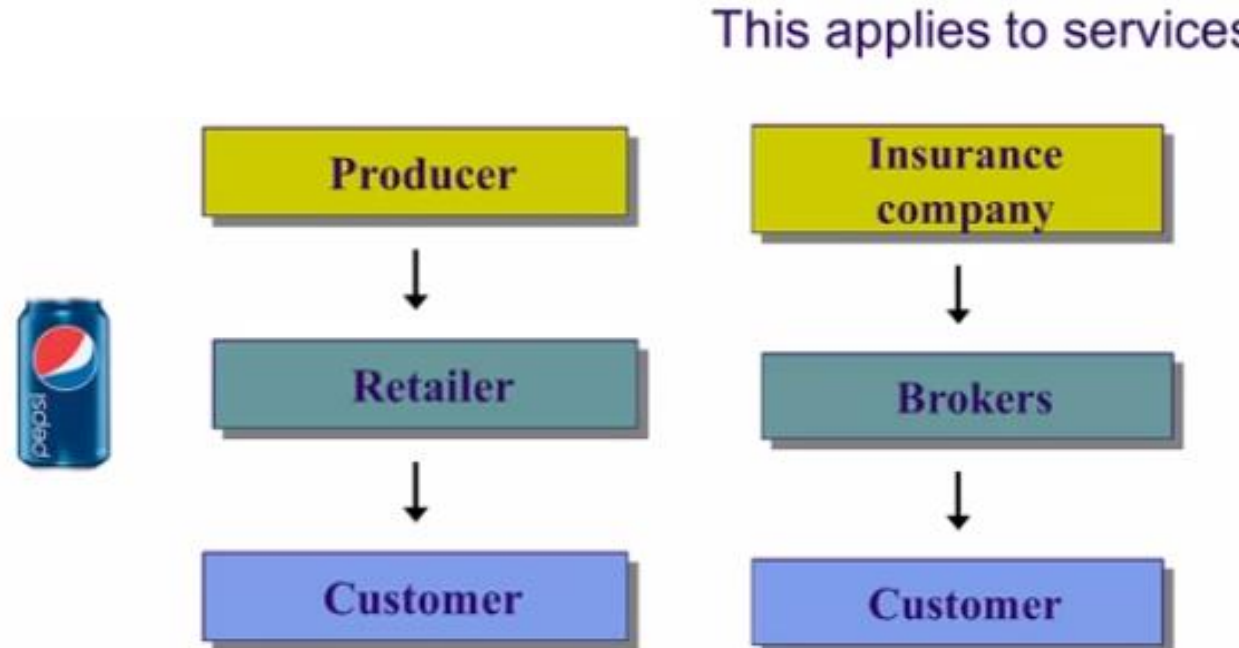
- Internet



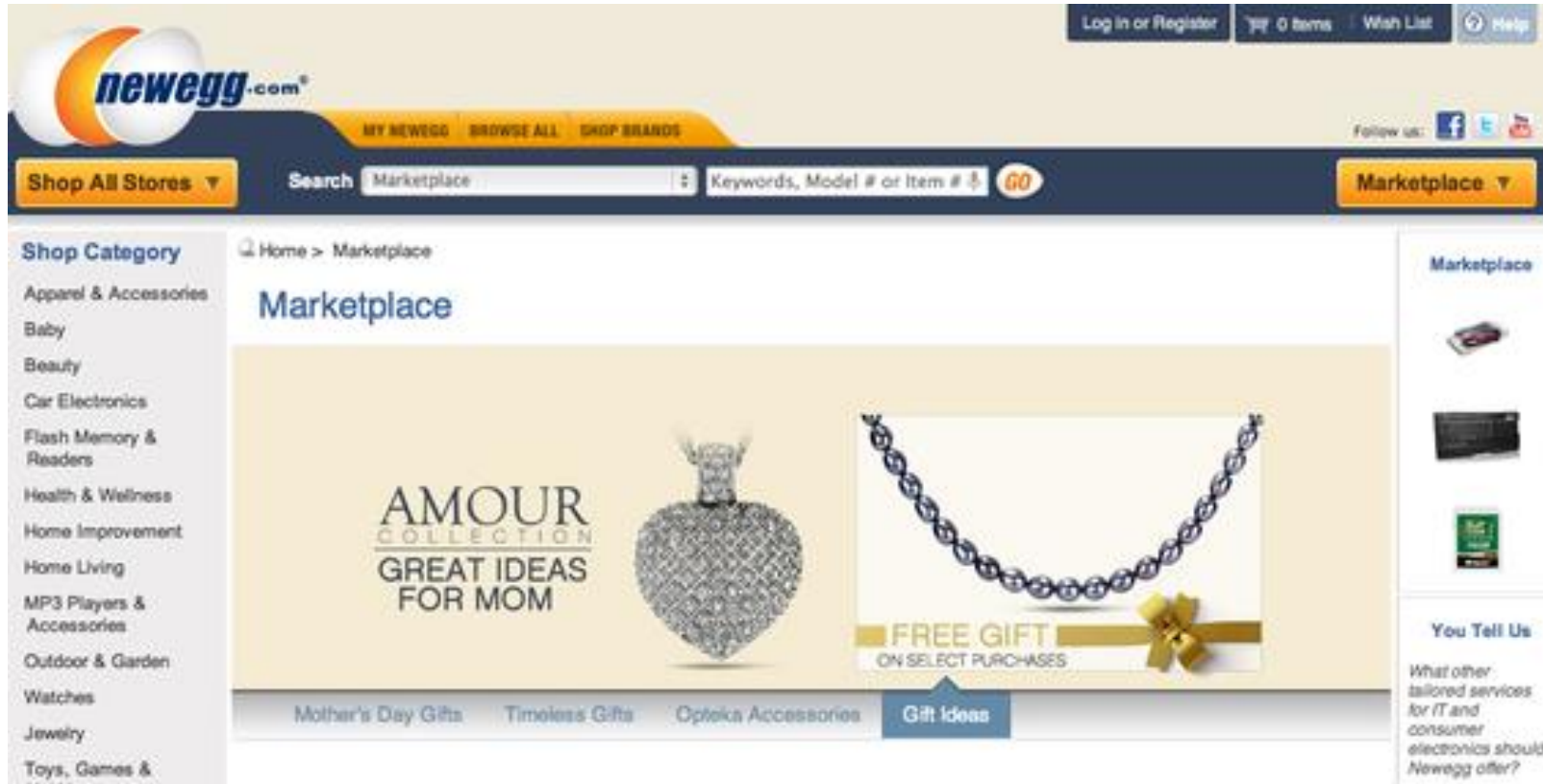
Common for industrial goods (as customers are knowledgeable and purchase in large quantities)

Indirect Channel

When a producer employs one or more intermediaries (one, two, three levels) to transfer goods from producers to customer.



Is marketplace a direct or indirect channel?



If you sell your products or even have a micro-store within a marketplace, these are really indirect sales channels.

The marketplace owns the customer experience. It collects the money, sets return policies, and risks its reputation

Advantages and Disadvantages

Direct Channel

- **Pro**
 - High quality contact with customers, fast feedback
 - Control marketing mix (price, promotion, service quality)
- **Con**
 - Smaller coverage, take longer time to penetrate
 - High fixed cost
 - Limited solution

Indirect Channel

- Pro**
 - Large coverage
 - Quick penetration time
 - Utilize channels' expertise and knowledge and resources
 - Con**
 - High cost- smaller margin
 - Hard to control channels.
 - Reliant on channels
-

When to use Direct/Indirect channel

Direct Channel

- Customers are easily identifiable
- Product requires extensive demonstration
- Wide variety of offerings for the target market
- Sufficient resources are available
- Intermediaries are not available, not capable

Indirect Channel

- Large no. of customers.
 - Hard-to-reach customers.
 - Products serve market in different areas.
 - Products used heavily, frequently
 - Insufficient resource
 - Intermediaries perform more efficiently and cheaply
-

Different types of intermediaries



Middleman

Any intermediary between the manufacturer and end-user markets

Agent or
broker

Any intermediary with legal authority to act on behalf of the manufacturer

Wholesaler

An intermediary who sells to other intermediaries, usually to retailers; term usually applies to consumer markets

Retailer

An intermediary who sells to consumers

Distributor

An imprecise term, usually used to describe intermediaries who perform a variety of distribution functions, including selling, maintaining inventories, extending credit, and so on; a more common term in business markets but may also be used to refer to wholesalers

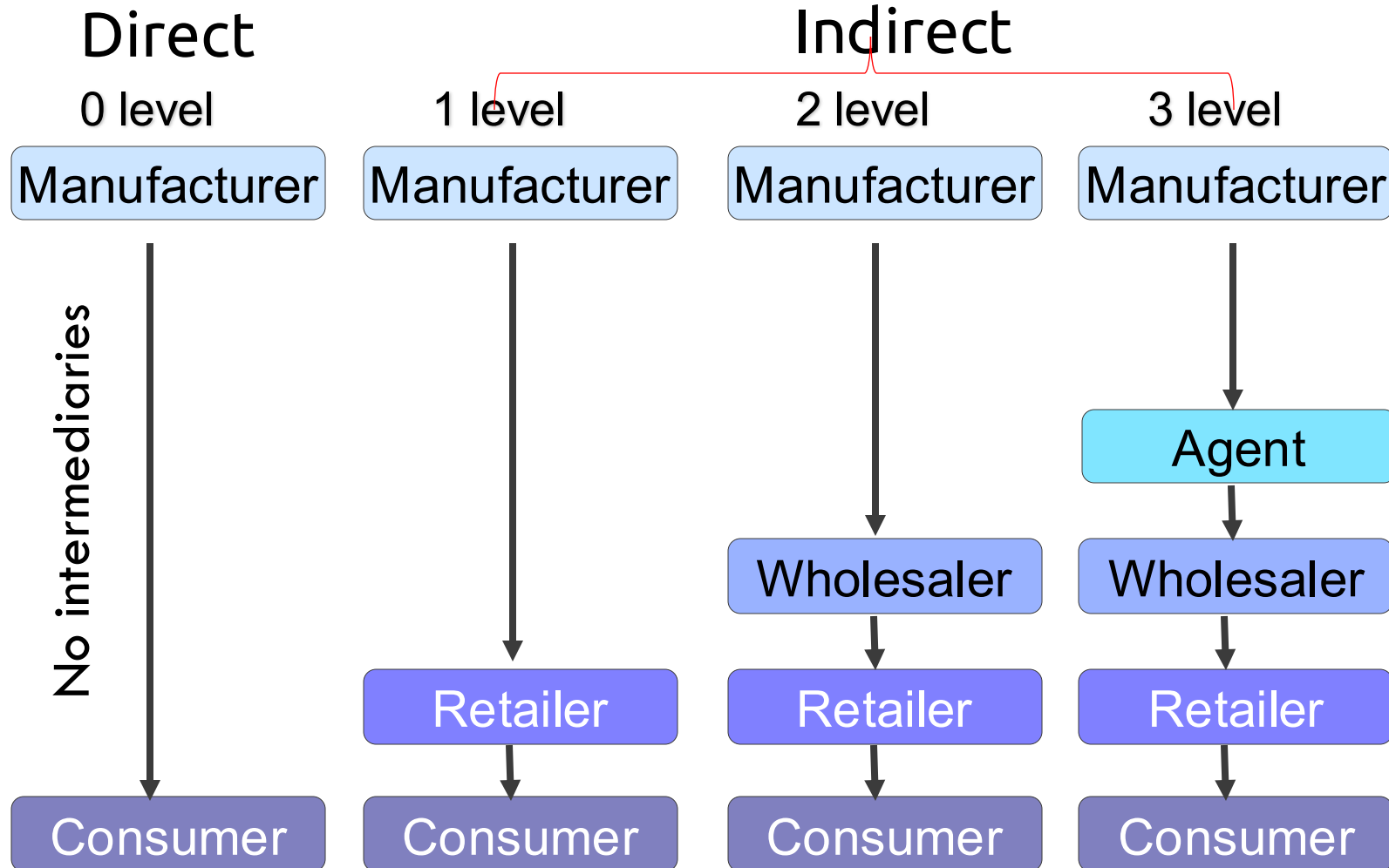
Dealer

A more imprecise term than *distributor* that can mean the same as distributor, retailer, wholesaler, and so forth



Channel length

- Number of intermediaries in a channel between the producer & consumer.



1-level channel



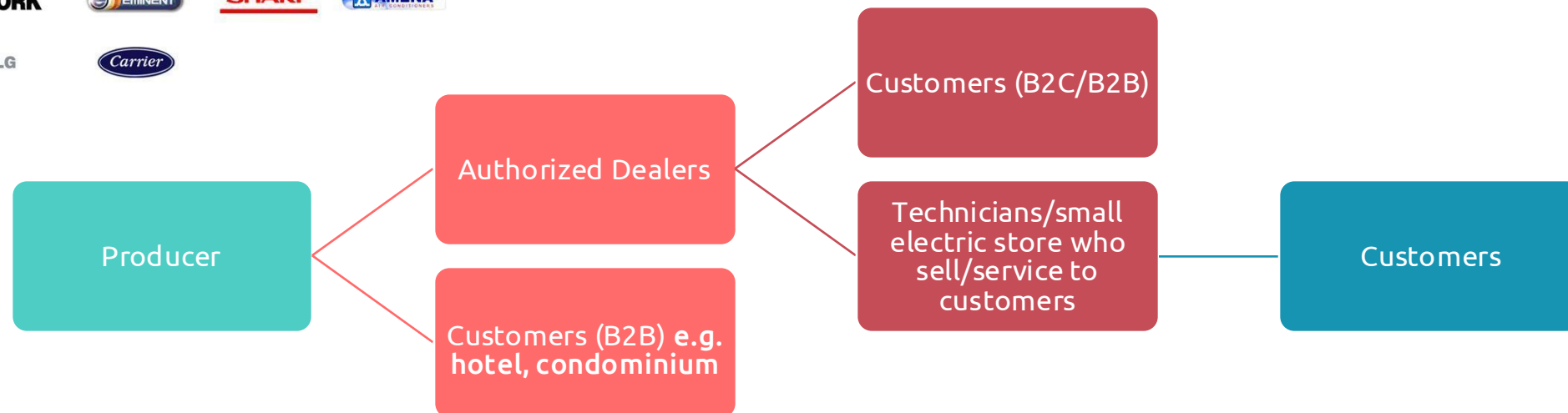
- One intermediary
 - Producers sell goods to retailers who then sells to consumers.
 - Retailer: department store, supermarket, company-approved dealer/distributor
 - Products
 - Durable goods e.g. car, electronics
 - Insurance agents
 - Benefit
 - Manufacturers cover wide area while retaining control
- 

Air conditioner



HEPA A.P.S SF-X
30,000 - 60,000 BTU

HEPA A.P.S SF-L
80,000 - 120,000 BTU

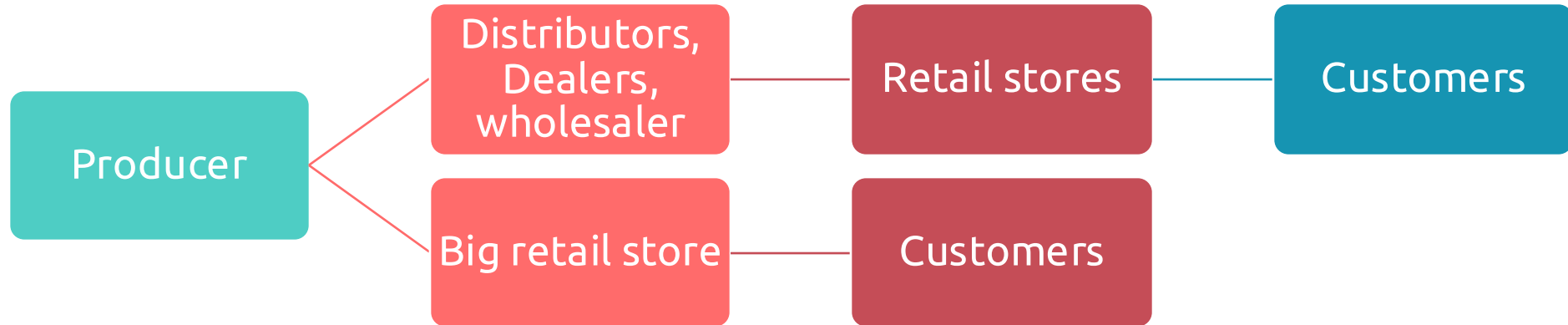


2-level channel

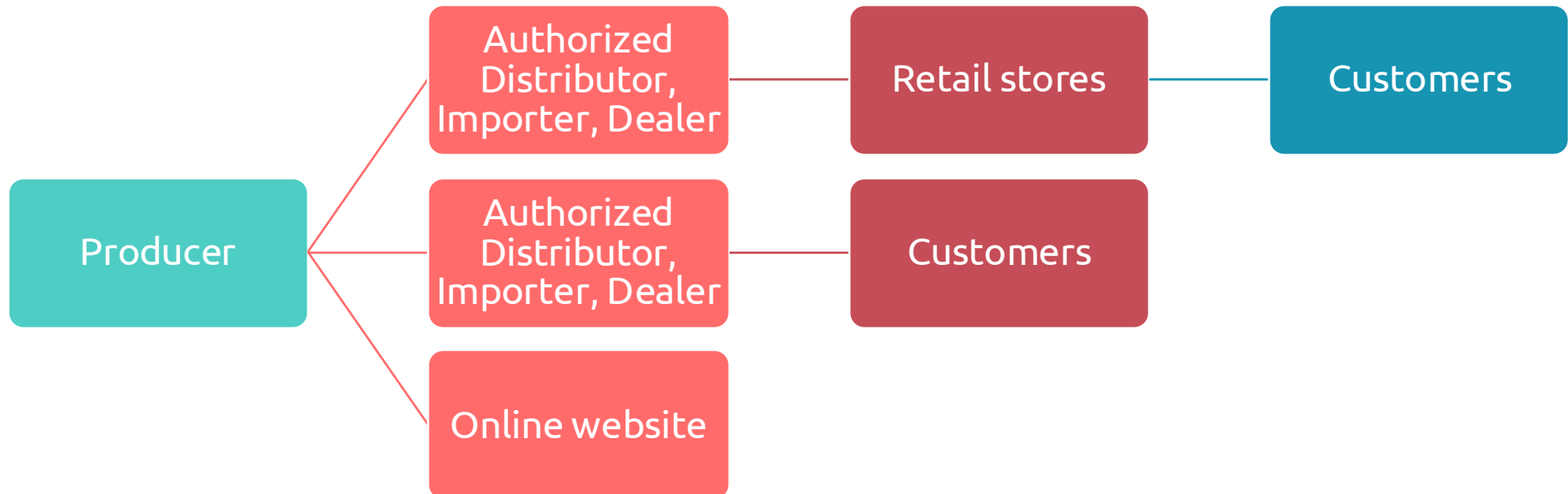


- Two intermediaries (wholesalers and retailers)
 - A wholesaler typically buys and stores large quantities of several producers' goods and then breaks into the bulk deliveries to supply retailers with smaller quantities
 - Applicable to products where
 - Commonly used for fast-moving consumer goods (FMCG) e.g. clothes, rice, sugar, drug, drinking water
 - Markets are spread over a large area
 - This type tends to work best where the retail channel is fragmented, not dominated by a small number of large, retailers who have an incentive to cut out the wholesaler
 - Value of individual purchase is small
 - Frequency of purchase is high
- 

Rice



Imported Handbag/Watch/Eyeglass

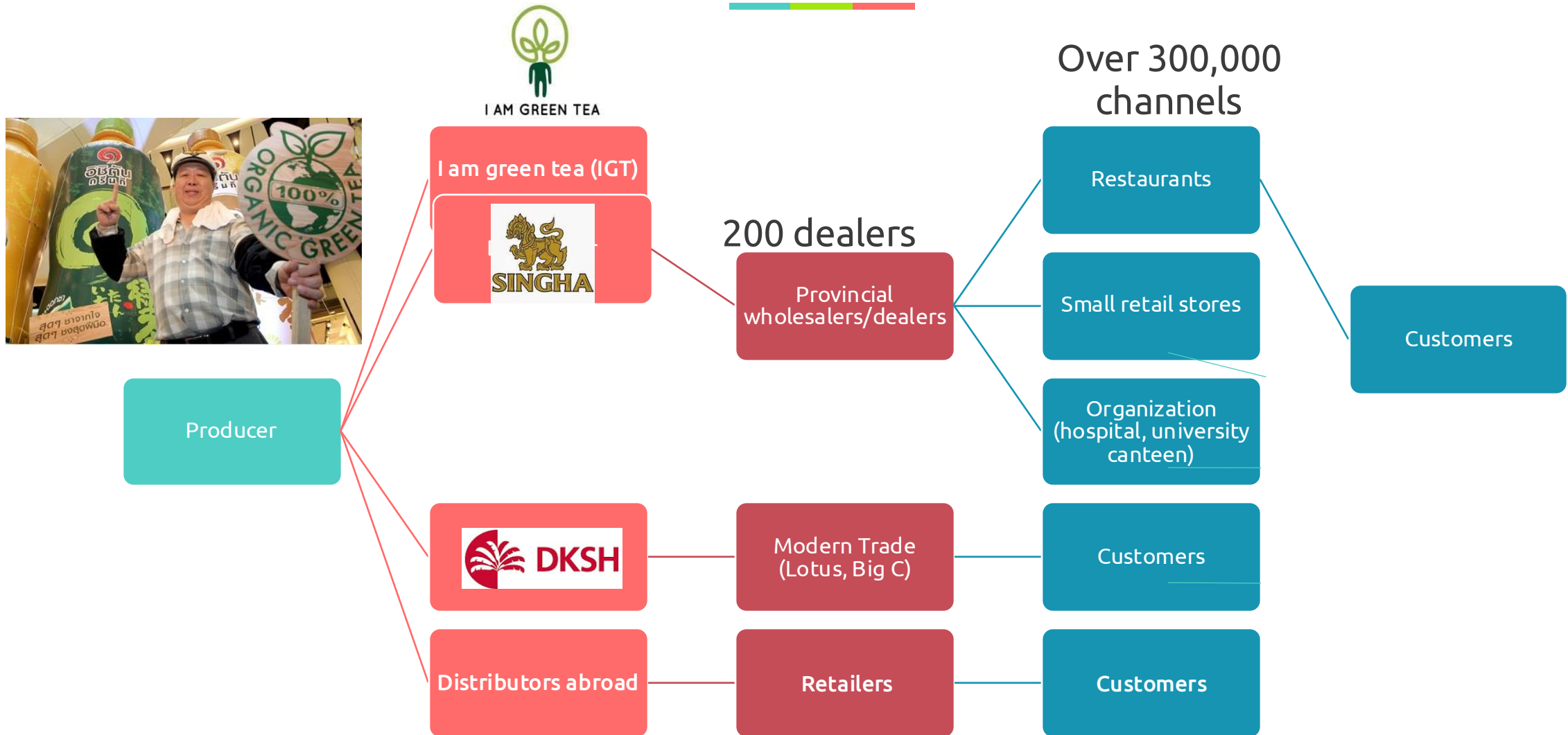


3-level channel



- Use selling agents/brokers/distributors to connect the manufacturers with wholesalers due to wide market and the number of wholesalers
 - Applicable to products
 - Sold by a large company
 - Where wholesalers scattered across countries
 - Observed in the FMCG, garment, and durables industry
- 

Beverage



Channel Length for Service



- Marketing channels for services tend to be short—direct from the service performer to the end user
 - Bank services that are accessible through branches, automatic tellers, Internet/mobile systems (direct)
 - Some services require the use of longer channels
 - Hotels rely on
 - Travel agents
 - Airlines that provide tour packages including hotel
 - Hotel Aggregator (booking.com, expedia.com, kayak.com)
 - Sales representatives of several noncompeting hotels (direct)
 - Websites (direct)
- 

Bank

Direct channels		Indirect channels
Branches	Mobile staff (that visit the customer)	Enable transactions via independent retail stores
Phone (a call center)	Personal bankers	Utilize mortgage brokers
Phone (an automated system)	Direct mail	Utilize investment adviser/financial planners
Online/internet banking	Email	Get referrals from real estate agents and accountants
ATMs/cash machines	Mobile text messages	Generate sales/referrals via independent internet sites

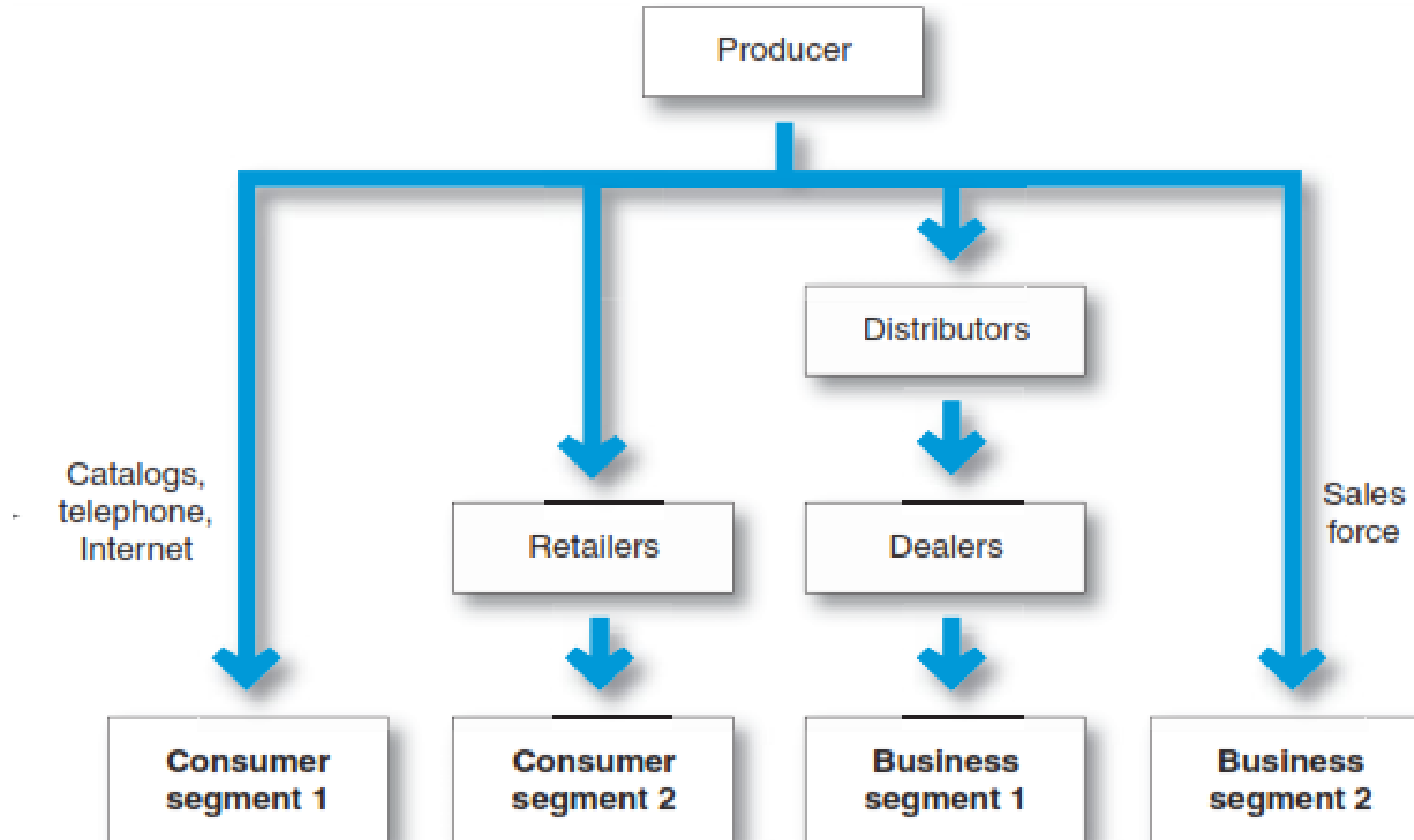


Dual distribution and Multi-channel

- Dual: Direct + indirect channel e.g. franchisor sell directly + via franchisee
- Multi: The use of various channels simultaneously to reach the firm's target market (could be same or different target markets)
- Objectives
 - To maximize their firm's coverage in the marketplace
 - To increase the cost-effectiveness of the firm's marketing effort
- Occasion:
 - Multi-brand
 - Geographic factors
 - Large and small retailers
 - Customers in different segments
- Consideration:
 - The channel provides incremental sales revenue or cannibalize existing sales.



Multiple channels serve multiple





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Advantages and Disadvantages

Pro

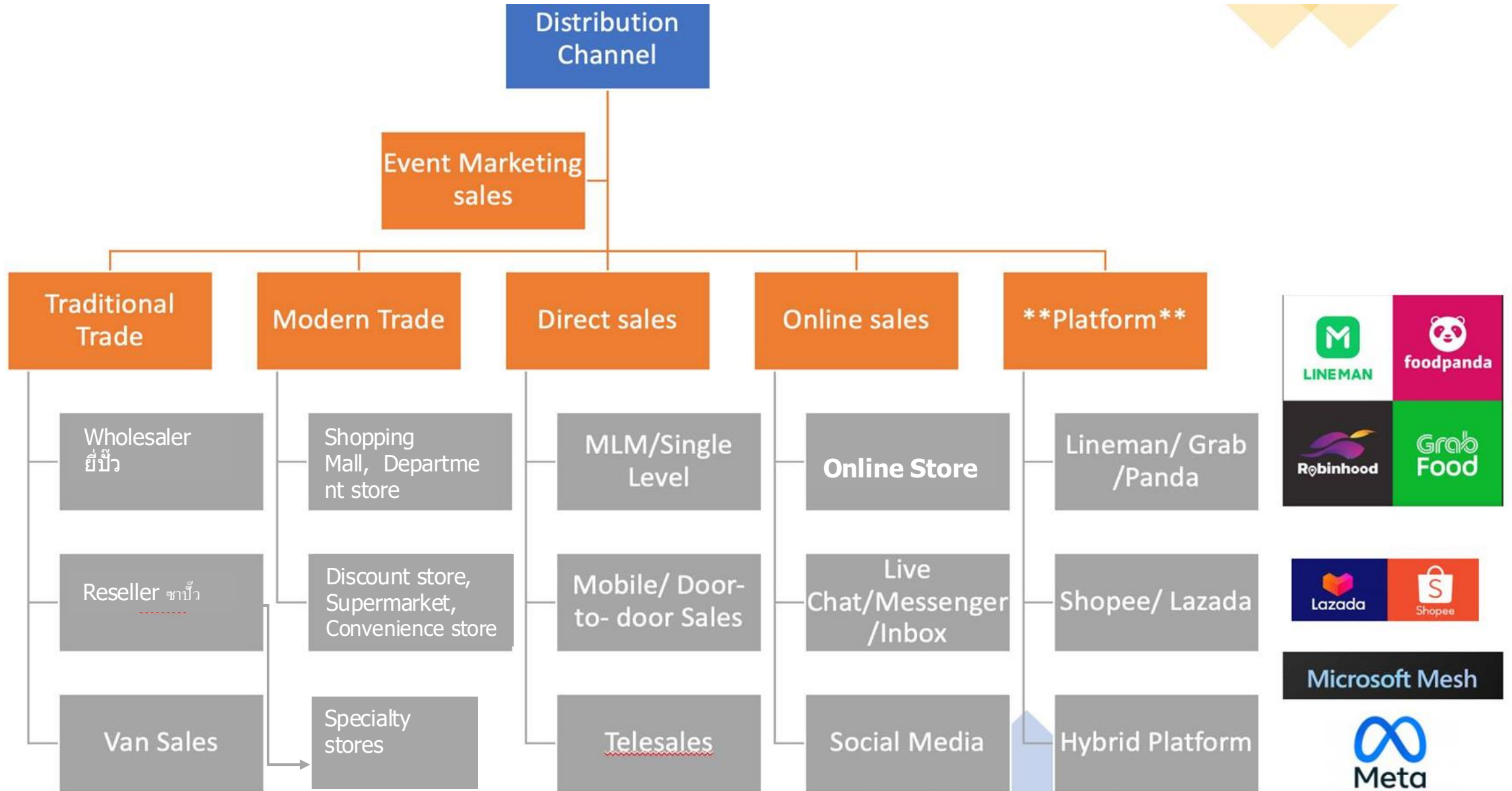
- Reach more and different kinds of customers
- Tailor offerings to the specific needs of diverse segments
- The more channels, the more loyal customers

Con

- Hard to manage and control
 - Price, quality, promotion
- Compete among channels, causing potential conflict
 - Dell stuck in the middle between retailers and sales representative

*Important to integrate various channels to ensure consistent, seamless experience across channels
(omni-channel)*

Types of distribution channels



Discussion



Discuss pros and cons and suitable products and customer characteristics

1. Traditional trade
 2. Trade fair/event
 3. Automated machine
 4. Direct sales through agents, MLM (multi-level marketing)
 5. TV sales/Virtual commerce
 6. Tiktok (Short video, live)
- 

Different types of retail stores

Store

Shopping Mall/Centre:	• greater in size compared to department stores and generally house multiple department stores (Central World, Seacon, MBK)
Department store:	• established in one building and sells a variety of goods or products to satisfy customer's needs (Robinson, Harrods, Macy)
Supermarket (grocery stores):	• self-service retailers that provide a full range of food to consumer household products (Tops, Tesco express, M&S, Whole Food, Co-op)
Superstore/Hypermarket:	• A combination of supermarket and department stores. It offers a variety of products (e.g. food, clothing, electronics) (Tesco, Target)
Convenience store:	• miniature supermarkets e.g. 7-11 (chain), mom-pop shop (non-chain)
Specialty store/Category killer:	• sell a certain type of product, but they usually carry a deep line of it (Boots, Watson, SE-ED, Banana IT)(Category killer: Home Pro, IKEA)
Warehouse store/Cash and Carry wholesaler	• offer a selection of merchandise sold in bulk with lower price, no-frills services (Makro)
Community mall:	• a place where people from a particular neighbourhood can meet for social and recreational activities, limited range of products (Crystal park)
Pop-up store:	• small temporary stores to create excitement and drive people to their regular stores



Structure of retailing



Store

- Shopping Mall/Centre
- Department store
- Supermarket (grocery stores)
- Superstore/Hypermarket
- Convenience store
- Specialty store/Category killer
- Warehouse club
- Community mall
- Pop-up store

Non-store

- Direct selling/door-to-door salespeople
 - Insurance, MLM
 - Direct marketing
 - Mail order/catalogue,
 - TV direct/telephone
 - Online marketing
 - Email/Messenger
 - Electronic storefront
 - Application
 - Automated vending machines
 - a gap between bricks and mortar and e-commerce.
 - 24/7, contactless, safe, no need to wait for delivery
- 

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10 บาท

Direct marketing

- Mail order/catalogue,
- TV direct

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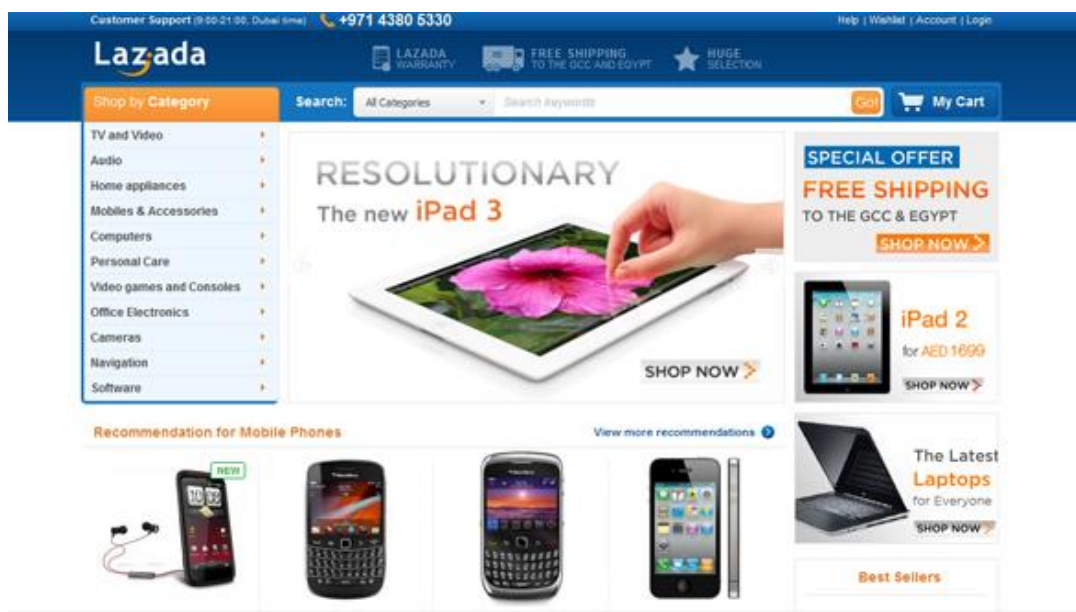
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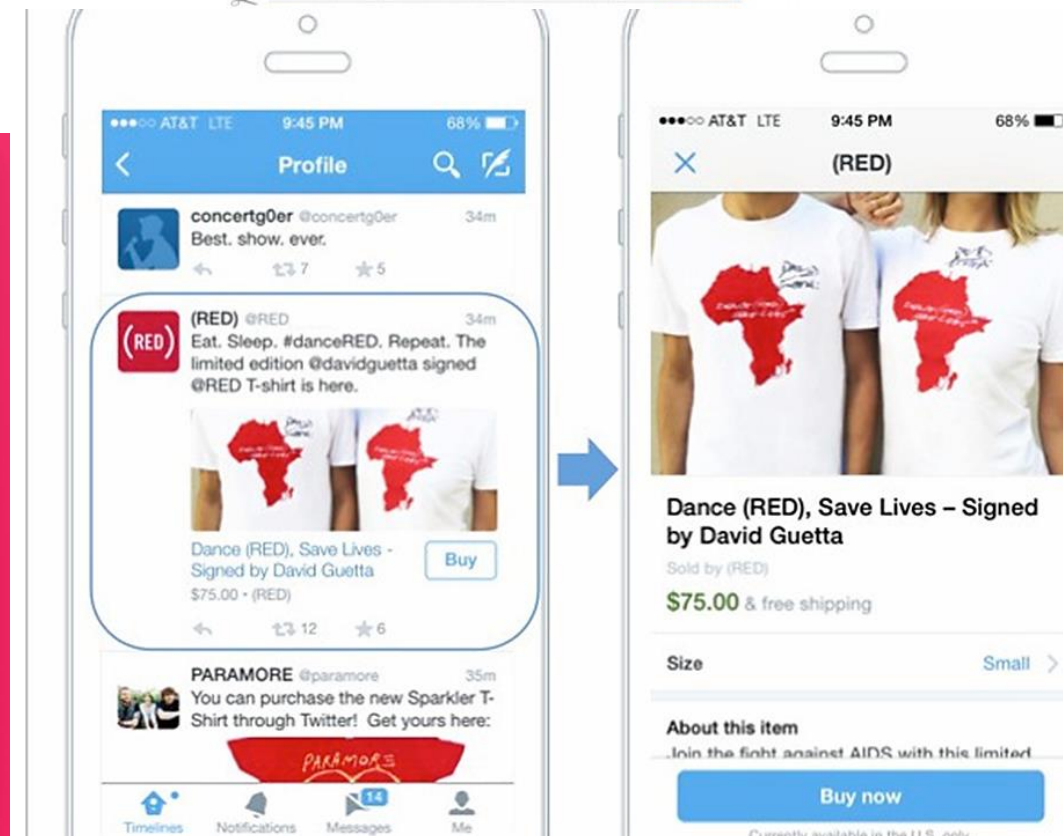
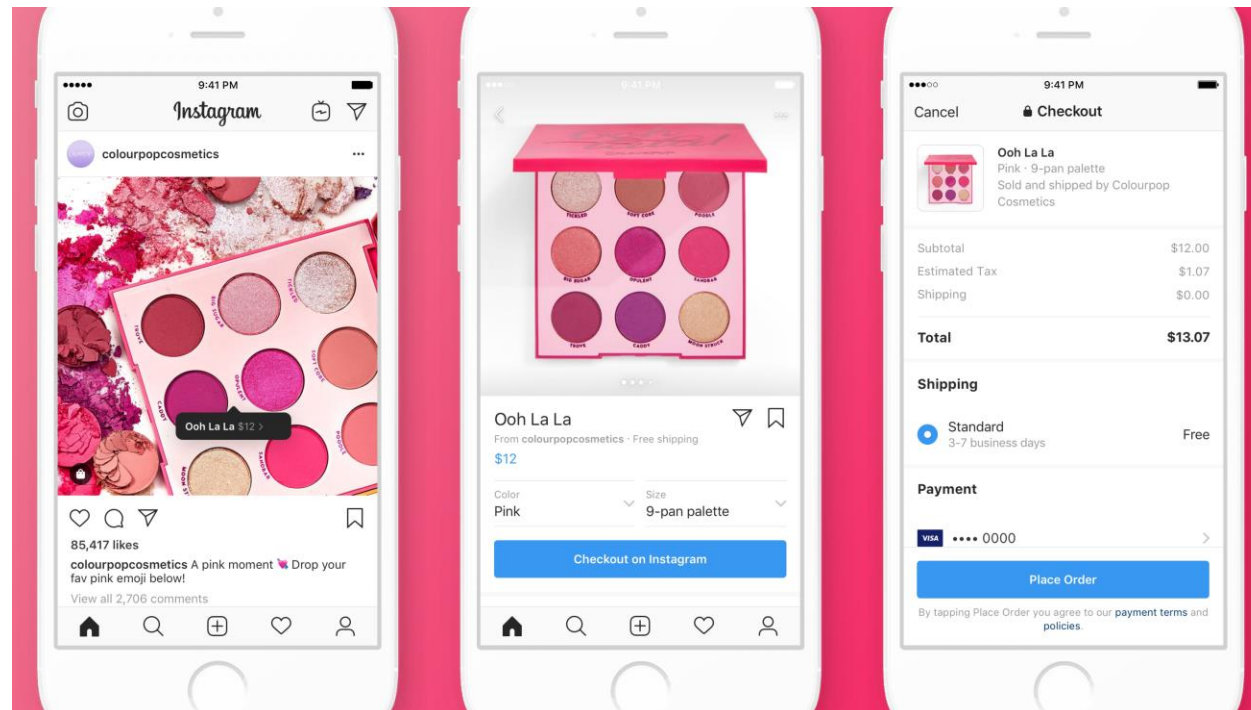
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Online channel



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Vending Machines

- Bridge a gap between bricks and mortar and e-commerce
- 24/7, contactless, safe, no need to wait for delivery

Drinks and snacks still dominate, but the variety is increasing

- Bicycle parts, electronics, books, basketball,
- shoes, jeans, skincare-make-up, toothbrush
- Cold food (e.g. meat, salmon), Hot food (e.g. pizza)
- Wine, Gold
- Flower





Vending Machine Store

611 Budget Vending Machine
30-40% of people buy budget brand
(e.g. Est, Big Cola, Volt)

- cafes that serve hot local dishes from machines,
- Unstaffed convenience stores, selling everything from plasters to baked beans out of machines.

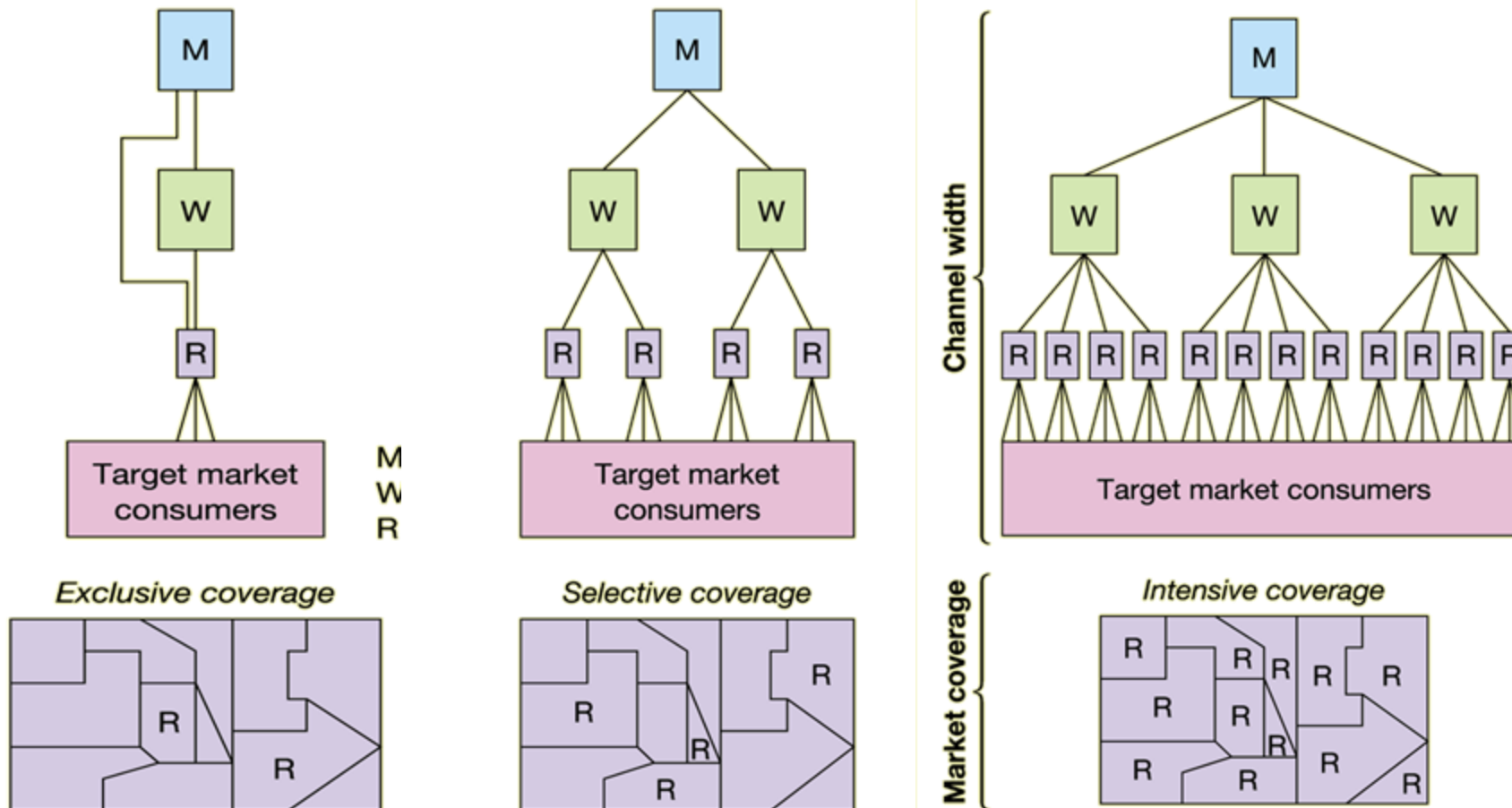


Number of intermediaries (Distribution Intensity)

M = Manufacturer
W = Wholesaler
R = Retailer

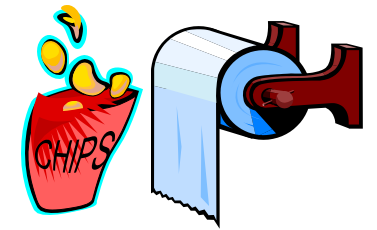
The level of availability selected for a particular product by the marketer

This level depends on the production capacity, the size of the target market, pricing and promotion policies and the amount of product service required by the end-user.



Distribution Intensity

Intensity Level	No. of Intermediaries	Objective	Types of product	No. of customer
Intensive	Many	Achieve mass market selling.	Convenience goods	Many and dispersed. Convenience shopping
Selective	Some	Achieve broad coverage and medium sale	Shopping and some specialty goods	Several. Medium effort. Brand focus
Exclusive	One, a few	Build the image and brand loyalty	Specialty goods and industrial equipment	Fewer. High involvement and loyalty



Effective distribution



The "sweet spot" is **not** 100% market coverage. It's when a limited number of channels (e.g., **40%**) deliver the vast majority of your *profitable* market potential (e.g., **80%**).

You know it's "enough" when you see these four warning signs:

- 1. Diminishing Profitability** You are generating more *sales*, but no more *profit*. The low margins and high costs of servicing the new channel cancel out any gains.
 - 2. Brand Dilution** The new channel (e.g., a discount store) does not match your brand's premium image. This confuses customers and damages your long-term brand integrity.
 - 3. Channel Conflict** Your new channels start to compete with (and anger) your existing, high-value retail partners, risking your most important relationships.
 - 4. Operational Strain** Your logistics, team, and inventory are spread too thin. Service quality and shipping times start to suffer for *all* your channels, including your best ones
- 

Group exercise

Suitable types, length, intensity, multi-channel?

1. Golf club and accessories
2. Musical instrument
3. Elliptical trainer machine
4. Massage chair
5. Art equipment
6. Robot vacuum cleaner



Healthy footwear

Belldilar - Original Equipment Manufacturer for many years

Direct Channel -

- Online store: belldilar.com
- Chat & Shop: Facebook and Line
- Offline store: Shopping mall 3 branches in BKK

Jolie snob is a distributor for Achilles, Asahi, Moonstar from Japan, and produces its Jolie snob and JS brand

Multiple Channel

Direct channel

- Online store: <https://www.jolisnob.com/>
- Chat & Shop: facebook.com/JoliSnobThailand/ID Line : @jolisnob
- Hotline : 062-664-2494

Indirect channel

- Offline channel: counter in footwear section in department stores (19 branches, 2 are outside BKK)
- E-marketplace: Shopee, Lazada, JD

Talon - Original Equipment Manufacturer for many years

Multiple Channel

Direct Channel

- Online channel: website, line
- ❖ Offline channel: Clinic and factory (stand-alone store)

Indirect Channel

- Offline channel (10 branches)
 - ❖ Theptarin hospital, diabete center
 - ❖ Department store: siam takashimaya in icon siam (shoe section), central (elderly section 3 branches)
 - ❖ Pop-up booth at Bangkok hospital
 - Health choice 3 branches
 - Music retailer at The old siam shopping plaza

Channel length: 0-1 level

Distribution Intensity: selective

Channel types: manufacturer, department store, online sales, platform, specialty store, pop-up store